NexusIQ Corporation — Q3 2024 Revenue Performance Memo

Internal Analysis | Prepared by: Finance & Analytics Team | Date: October 7, 2024

Period: July 1 – September 30, 2024 | Distribution: Leadership Team, Category Managers | Classification: Confidential

Executive Summary

Q3 2024 revenue reached $43,322,149.57, a 2.7% increase over Q2 2024 ($42,184,731.08) and a 13.3% increase over Q1 2024 ($38,241,892.14). NexusIQ is on track to achieve the full-year $175M revenue target: cumulative nine-month revenue through September 30 stands at $123,748,772.79, or 70.5% of full-year target, consistent with the expected back-weighted revenue profile given Q4 seasonal dynamics.

Q3 was characterized by back-to-school demand in Electronics and a solid Sports and Fitness performance through summer. The August-September back-to-school period drove a notable 18% spike in Laptop sales and a 14% spike in Tablet sales versus Q2 levels. Home category remained steady, benefiting from continued strength in Bedding and Kitchen subcategories driven by new household formation purchases.

Q3 Monthly Revenue Detail

Month	Revenue	vs Prior Month	Category Highlight	Notable Event
July 2024	$13,821,486.22	+1.4% vs Jun	Sports peak (summer)	Summer sale promotion week 2
August 2024	$14,472,319.48	+4.7% vs Jul	Electronics (back-to-school)	Back-to-school campaign launched
September 2024	$15,028,343.87	+3.8% vs Aug	Electronics, Home	Labor Day weekend sale event
Q3 Total	$43,322,149.57	+2.7% vs Q2	Electronics led	Cumulative YTD: $123,748,772.79

Category Performance

Electronics contributed an estimated $19,482,967 in Q3, representing 45.0% of quarterly revenue. While Electronics' quarterly share was lower than the full-year average of 51.8%, this reflects Q3's more balanced category mix driven by summer Sports demand. The back-to-school acceleration in August and September positions Electronics well for continued growth into Q4.

Sports and Fitness performed above Q4 2025 planning assumptions in Q3, with outdoor equipment and athletic apparel driving strong performance through July and August. The Sports category typically peaks in Q2 and Q3; Q4 seasonality is expected to moderate Sports contribution as documented in the 2024 Annual Business Review's seasonal demand analysis.

Home category held steady through Q3 at approximately $8,664,430. No major Home promotions ran in Q3; the category benefits from consistent demand for everyday home goods without the pronounced seasonality seen in Electronics and Sports. Clothing ran at reduced levels in Q3 summer months; the category typically accelerates in October through December as winter apparel demand grows.

Category	Est. Q3 Revenue	% of Q3	Est. Q2 Revenue	QoQ Growth	YTD through Q3
Electronics	$19,482,967	45.0%	$18,332,558	+6.3%	$64,027,795
Home	$8,664,430	20.0%	$8,436,946	+2.7%	$29,470,799

Sports	$7,597,376	17.5%	$7,805,575	-2.7%	$20,293,445
Clothing	$5,198,658	12.0%	$4,640,320	+12.0%	$7,066,388
Food	$2,378,719	5.5%	$2,969,332	-19.9%	$2,890,343
Total	$43,322,150	100%	$42,184,731	+2.7%	$123,748,770

Q3 and Q2 category figures are estimates. YTD calculated from Q1+Q2+Q3 totals.

Q4 Outlook and Preparation

Q4 2024 forecast stands at $48.2M based on historical seasonality and current demand signals. Electronics is expected to lead Q4 as holiday gift demand drives Laptop, Phone, and Tablet purchases. The supply chain team has been briefed on the need to pre-position Electronics inventory above standard reorder thresholds ahead of the November demand peak.

Three risks are identified for Q4. First, Tablet supply — the TechSource Global vendor is on performance notice for delivery rates below 95% per the Inventory Reorder SOP vendor scorecard, and delivery reliability must improve before the November peak. Second, return volume is expected to be elevated in Q4 as gift recipients return items; the customer operations team should pre-staff the returns function per the Returns and Refunds Policy Section 4 guidance on Q4 processing timelines. Third, the West region faces the most concentrated inventory risk given its above-average Electronics mix.